Purshotamdas's term in the Council lasted barely a year and was an uneventful one. In 1924, he was elected to the Central Legislative Assembly by the Indian Merchants' Chamber (IMC) as a representative of Indian commerce. The IMC was established in 1907 by Sir Manmohandas Ramji, a far-sighted businessman, with the cooperation of the Bombay Native Piecegoods Merchants' Association, which resented the unhelpful attitude of the Bombay Chamber of Commerce which was dominated by the British. Purshotamdas was closely associated with IMC from its inception, and at the invitation of Sir Manmohandas Ramji he became its first Vice President at the young age of twenty-eight. He was its President in 1913, and again in 1920–21. Purshotamdas's group dominated the IMC for more than three decades.

Purshotamdas acquitted himself with considerable credit in the debates of the Assembly. Mohammed Ali Jinnah who tried to browbeat Purshotamdas into becoming a member of his group, and to vote with them, was politely told that he preferred to rely on his own judgment. Much of the respect that he enjoyed derived from the fact that he was never afraid to speak his mind and to vote independently, treating each issue on its merits, the sole criterion being the interest of the country.

Though here we are primarily concerned with Purshotamdas's contributions to banking, in particular, his stellar role in the ratio debate[5], the campaign for a central bank, and subsequently as a Director of the Reserve Bank of India (RBI) from its inception in 1935 till January 1957, Purshotamdas was truly a man for all seasons. He was also associated with the Central Bank of India and was one of the most active Directors of the Imperial Bank of India. He joined the Board of the Imperial Bank in July 1922 and till his resignation in December 1934 (just before the RBI was born), was one of its most active Directors. For twelve years Purshotamdas's exceptional business knowledge and experience greatly benefited the Bank and his clear thinking, foresight, integrity, and impartiality were valuable assets. Many and varied were the tributes paid to him by the Directors and all ranks of officers when he resigned to start his innings with the RBI which lasted 22 years, with only three others, Sir Shri Ram, B.M. Birla and C.R. Srinivasan having served longer.

Purshotamdas served as a Director or Chairman on the Boards of numerous institutions ranging from banks, insurance companies, transport,